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Kaynes Technology India KAYN.NS KAYNES IN

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Realigns growth target on smart-meter challenges

Cash flow improvement remains a key monitorable; ex-smart meter growth recovery could serve as a catalyst

Growth drivers may need to be reassessed given significant drag of working capital

- Kaynes stock has corrected ~30% over the past month (Nifty up ~1.4%), mainly on concerns over: (1) accounting and (2) collection issues in the smart meters. The company has clarified the issues in its press release (*link*) and analyst call held on 8 Dec. In this note, we lay out each of these concerns, their explanations, and offer our perspective. Overall, we believe these are not corporate governance issues but reporting and execution issues.
- **Key takeaways from the analyst call:** Management noted that a few accounting disclosures required better clarification and reporting, which will be addressed in the future. It would look at incorporating the advice of external agencies as well. According to management, working capital normalisation is underway and improvement should be visible going ahead. In smart meters, Kaynes will no longer be a service provider and only supply smart meter devices with better collection terms. Also, it does not expect any equity funding in the near term to fund its ongoing projects across the OSAT and PCB segments.
- **In our view,** while there have been lapses in disclosure (which the company acknowledged), the explanation regarding the accounting issue seems plausible. Working capital challenges in smart meters along with its strategy to de-focus on this segment should have been communicated earlier, thus avoiding negative surprises. Given these challenges, we believe the company needs to re-look at growth in smart meters, which it can partly offset by a significant step-up in growth from other segments such as automotive, railways, and aerospace (*Fig. 15*), potentially leading to smart meter revenue share coming down from ~30% in 1HFY26 to ~17% in 2HFY26F and ~11% by FY28F.
- Overall, given the challenges in the smart meter business, we lower our revenues by 5-9%, and EBITDA margins by 30bp, leading to 8-14% cuts in our FY26-28F EPS.

Maintain Buy; cut TP to INR5,455 (from INR8,478) on 35x FY28F EPS, discounted to Dec-27F

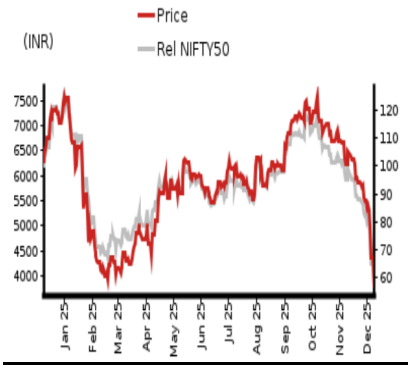
- On valuations, given a slightly lower growth outlook, we lower our target P/E to 35x (50x previously), which is at the low end of its historical trading band of 35-55x. Its current valuation at ~26x FY28F P/E (adjusted for subsidiaries) looks attractive given a ~40% EPS CAGR over FY26-28F; hence; we maintain Buy. Improvement in working capital to <90 days by FY26F (113 days in 1HFY26 *Fig. 5*), ramp-up of other businesses and improvement in accounting disclosures can be a key catalyst for the stock, in our view

Year-end 31 Mar	FY25	FY26F		FY27F		FY28F	
Currency (INR)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	27,218	42,562	40,385	67,407	61,300	90,060	81,814
Reported net profit (mn)	2,935	4,878	4,484	7,764	6,723	10,450	8,924
Normalised net profit (mn)	2,935	4,878	4,484	7,764	6,723	10,450	8,924
FD normalised EPS	43.43	72.19	66.36	114.90	99.49	154.64	132.05
FD norm. EPS growth (%)	51.5	66.2	52.8	59.2	49.9	34.6	32.7
FD normalised P/E (x)	99.7	–	65.3	–	43.5	–	32.8
EV/EBITDA (x)	72.7	–	45.4	–	30.3	–	22.6
Price/book (x)	9.8	–	6.0	–	5.3	–	4.6
Dividend yield (%)	–	–	–	–	–	–	–
ROE (%)	11.0	12.6	11.6	14.7	12.9	16.9	14.9
Net debt/equity (%)	29.6	1.8	3.9	0.4	6.1	net cash	4.4

Source: Company data, Nomura estimates

Rating Remains	**Buy**
Target price Reduced from INR 8,478	**INR 5,455**
Closing price 9 December 2025	**INR 4,331**
Implied upside	**+26.0%**
Market Cap (USD mn)	3,230.4
ADT (USD mn)	76.2

Relative performance chart



Source: LSEG, Nomura

Research Analysts

India Consumer Durables

Siddhartha Bera, CFA - NFASL
siddhartha.bera@nomura.com
+91 22 403 74362

Kapil Singh - NFASL
kapil.singh@nomura.com
+91 22 403 74199

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on Kaynes Technology India

Performance

(%)	1M	3M	12M		
Absolute (INR)	-30.4	-39.0	-31.2	M cap (USDmn)	3,230.4
Absolute (USD)	-31.4	-40.2	-35.1	Free float (%)	25.9
Rel to NIFTY50	-32.3	-43.4	-36.6	3-mth ADT (USDmn)	76.2

Income statement (INRmn)

Year-end 31 Mar	FY24	FY25	FY26F	FY27F	FY28F
Revenue	18,046	27,218	40,385	61,300	81,814
Cost of goods sold	-13,551	-19,444	-27,150	-41,104	-54,837
Gross profit	4,495	7,773	13,234	20,196	26,977
SG&A	-1,178	-2,333	-4,432	-6,870	-9,274
Employee share expense	-1,028	-1,781	-3,063	-4,594	-5,972
Operating profit	2,290	3,660	5,739	8,732	11,730
EBITDA	2,542	4,107	6,438	9,684	12,979
Depreciation	-251	-447	-698	-952	-1,249
Amortisation					
EBIT	2,290	3,660	5,739	8,732	11,730
Net interest expense	-534	-1,013	-1,013	-1,013	-1,013
Associates & JCEs					
Other income	559	1,070	1,022	900	724
Earnings before tax	2,316	3,717	5,749	8,619	11,441
Income tax	-483	-782	-1,265	-1,896	-2,517
Net profit after tax	1,833	2,935	4,484	6,723	8,924
Minority interests	0	0	0	0	0
Other items					
Preferred dividends					
Normalised NPAT	1,833	2,935	4,484	6,723	8,924
Extraordinary items					
Reported NPAT	1,833	2,935	4,484	6,723	8,924
Dividends					
Transfer to reserves	1,833	2,935	4,484	6,723	8,924
Valuations and ratios					
Reported P/E (x)	151.0	99.7	65.3	43.5	32.8
Normalised P/E (x)	151.0	99.7	65.3	43.5	32.8
FD normalised P/E (x)	151.0	99.7	65.3	43.5	32.8
Dividend yield (%)	–	–	–	–	–
Price/cashflow (x)	394.7	–	1,031.5	138.8	59.9
Price/book (x)	11.1	9.8	6.0	5.3	4.6
EV/EBITDA (x)	115.0	72.7	45.4	30.3	22.6
EV/EBIT (x)	127.6	81.6	50.9	33.6	25.0
Gross margin (%)	24.9	28.6	32.8	32.9	33.0
EBITDA margin (%)	14.1	15.1	15.9	15.8	15.9
EBIT margin (%)	12.7	13.4	14.2	14.2	14.3
Net margin (%)	10.2	10.8	11.1	11.0	10.9
Effective tax rate (%)	20.8	21.0	22.0	22.0	22.0
Dividend payout (%)	0.0	0.0	0.0	0.0	0.0
ROE (%)	10.6	11.0	11.6	12.9	14.9
ROA (pretax %)	11.2	9.5	10.6	12.8	14.6
Growth (%)					
Revenue	60.3	50.8	48.4	51.8	33.5
EBITDA	51.0	61.6	56.7	50.4	34.0
Normalised EPS	74.7	51.5	52.8	49.9	32.7
Normalised FDEPS	74.7	51.5	52.8	49.9	32.7

Source: Company data, Nomura estimates

Cashflow statement (INRmn)

Year-end 31 Mar	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	2,542	4,107	6,438	9,684	12,979
Change in working capital	-1,696	-1,341	-4,921	-5,626	-5,314
Other operating cashflow	-144	-3,590	-1,233	-1,949	-2,776
Cashflow from operations	701	-823	284	2,109	4,889
Capital expenditure	-3,826	-9,488	-3,000	-3,600	-4,320
Free cashflow	-3,125	-10,311	-2,716	-1,491	569
Reduction in investments					
Net acquisitions					
Dec in other LT assets					
Inc in other LT liabilities					
Adjustments	-10,199	5,955	-6,500	0	0
CF after investing acts	-13,324	-4,356	-9,216	-1,491	569
Cash dividends					
Equity issue	13,118	-31	15,749	0	0
Debt issue	1,702	5,694	0	0	0
Convertible debt issue					
Others	-534	-2,088	0	0	0
CF from financial acts	14,285	3,575	15,749	0	0
Net cashflow	962	-781	6,533	-1,491	569
Beginning cash	294	1,256	474	7,007	5,516
Ending cash	1,256	475	7,007	5,516	6,084
Ending net debt	1,907	8,411	1,878	3,369	2,800

Balance sheet (INRmn)

As at 31 Mar	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	1,256	474	7,007	5,516	6,084
Marketable securities					
Accounts receivable	3,556	5,746	10,006	13,748	16,644
Inventories	5,483	8,144	10,616	15,662	19,289
Other current assets	1,572	2,379	2,915	4,388	5,338
Total current assets	11,867	16,744	30,544	39,313	47,356
LT investments	15,318	11,413	14,413	14,413	14,413
Fixed assets	3,687	10,589	16,391	19,039	22,110
Goodwill	152	141	141	141	141
Other intangible assets	404	1,633	1,633	1,633	1,633
Other LT assets	1,224	5,893	5,893	5,893	5,893
Total assets	32,652	46,412	69,014	80,431	91,545
Short-term debt	2,949	8,080	8,080	8,080	8,080
Accounts payable	4,119	7,855	10,216	14,400	16,427
Other current liabilities	280	861	847	1,296	1,430
Total current liabilities	7,348	16,796	19,142	23,776	25,937
Long-term debt	112	675	675	675	675
Convertible debt	102	130	130	130	130
Other LT liabilities	206	369	392	452	481
Total liabilities	7,768	17,970	20,339	25,033	27,223
Minority interest					
Preferred stock					
Common stock	639	641	670	670	670
Retained earnings	24,245	27,801	48,005	54,728	63,652
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	24,884	28,442	48,675	55,399	64,322
Total equity & liabilities	32,651	46,412	69,014	80,431	91,545
Liquidity (x)					
Current ratio	1.61	1.00	1.60	1.65	1.83
Interest cover	4.3	3.6	5.7	8.6	11.6
Leverage					
Net debt/EBITDA (x)	0.75	2.05	0.29	0.35	0.22
Net debt/equity (%)	7.7	29.6	3.9	6.1	4.4
Per share					
Reported EPS (INR)	28.68	43.43	66.36	99.49	132.05
Norm EPS (INR)	28.68	43.43	66.36	99.49	132.05
FD norm EPS (INR)	28.68	43.43	66.36	99.49	132.05
BVPS (INR)	389.31	443.83	720.30	819.78	951.84
DPS (INR)	0.00	0.00	0.00	0.00	0.00
Activity (days)					
Days receivable	58.9	62.4	71.2	70.7	68.0
Days inventory	129.5	127.9	126.1	116.7	116.6
Days payable	93.1	112.4	121.5	109.3	102.9
Cash cycle	95.3	77.9	75.8	78.1	81.7

Source: Company data, Nomura estimates

Company profile

Incorporated in 2008, Kaynes Technology is a leading end-to-end IoT solutions-enabled integrated electronics manufacturing company. The company provides conceptual design, process engineering, integrated manufacturing, and life-cycle support for major players in the automotive, telecom, aerospace, outer space and strategic electronics, medical, IoT, and industrial including EV segments. Services include manufacturing plastics, wiring and cable harnesses, magnetics, PCB assemblies, and box builds. The company is promoted by Ramesh Kunhikannan, Savitha Ramesh and RK Family Trust. The company classifies its operations under four business verticals: 1) OEM turnkey solutions – box build. 2) OEM turnkey solutions printed circuit board assemblies. 3) ODM. 4) Product engineering and IoT solutions.

Valuation Methodology

Our TP of INR 5,455 is backed by DCF. We attribute ~35x (50x earlier) target P/E on FY28F EPS (discounted to Dec-27F) for EMS business (backed by DCF) and add INR 962 for OSAT+PCB business. The benchmark index is Nifty 50

Risks that may impede the achievement of the target price

Execution of the order book will be a key monitorable for Kaynes. Any delay in execution will have an adverse impact on its revenue and profitability. Semiconductor is the key raw material for Kaynes, which has faced supply constraint in the past. Any supply crunch in future will have a similar adverse impact on the company's operations, working capital and earnings. Top 10 customers contributed ~69% to revenue as of FY24, up from 60% in FY23; any loss of these customers will have a detrimental impact on the company's earnings. We expect Kaynes to gradually scale up its OSAT business in phases. Failure to do so could significantly impact its financials. Any further deterioration in working capital could impact return ratios, offsetting the benefits of its high margins. Also, one of the other risks to watch out here is the company's ability to further invest in OSAT business over the medium term, post subsidy scheme, without compromising on its return ratios. Kaynes has hired and partnered with multiple companies to gain access to technology relevant to semiconductor packaging and testing. Continued ability to hire the right talent and partner with relevant firms with technology capabilities would be key to ensure that these new ventures become successful.

ESG

Kaynes Technologies has deployed effective ESG measures. Their operations comply with global standards and facilities have 12 global accreditations. It is an ISO 9001/14001/45001 Bureau Veritas certified company. The company uses advanced and state-of-the-art technology, which decreases emissions, reduces carbon footprint, and promotes sustainable operations. The company's commitment to social accountability and labor rights is demonstrated by obtaining the SA8000 certification, an international standard for social responsibility and corporate governance. Kaynes Technical Training Foundation actively employs differently-able individuals, providing them with specialized training and guidance to perform repetitive tasks. The company is committed to environmental sustainability and has established a dedicated "Lead-free" manufacturing line for PCB assemblies. Kaynes possesses the expertise to manufacture products that comply with RoHS regulations, ensuring a commitment to environmental-friendly practices.

Concern 1: Iskraemeco standalone entity profits do not tie up with Kaynes consolidated profits

- Kaynes acquired Iskraemeco in Oct 2024 and consolidated it in 2HFY25. It reported ~INR490mn profit in consolidated break up for Iskraemeco, while Iskraemeco standalone financials reported only INR6mn profit.
- *Explanation: The company noted that Iskraemeco reported ~INR5.3bn/INR489mn revenue/PAT in 2HFY25 (implying ~9% net margin). However, pre-merger as part of due diligence, previous management had to write off old inventory (thus impacting gross margins) and other costs as a part of clean-up, leading to a INR480mn loss in 1HFY25. Thus, overall profit came to only INR6mn.*
- *We believe this could have been explicitly mentioned up front in the annual report for better clarity*

Fig. 1: Iskraemeco financials

Particulars (INR mn)	FY24	FY25
Revenue	653	6,179
y-y (%)		846%
EBITDA	130	163
Mgn (%)	**19.9%**	**2.6%**
Depreciation	19	93
EBIT	110	69
Mgn (%)	**16.9%**	**1.1%**
Interest	24	53
PAT	103	6
Mgn (%)	**15.7%**	**0.1%**

Source: Company data, Nomura research

Fig. 2: Snapshot of reconciliation of consolidated net profit (Kaynes)

Name of the entity in the Company	FY24		FY25	
	Share in Profit/(Loss)			
	As % of consolidated net assets	Amount	As % of consolidated net assets	Amount
Parent company				
Kaynes Technology India Limited	68.8%	1,261	71.5%	2,099
Indian Subsidiaries				
Kaynes International Design	2.9%	54	1.8%	52
Kemsys Technologies	-0.2%	(4)	-0.4%	(12)
Kaynes Embedded Systems				
Kaynes Electronics Manufacturing	28.4%	520	17.3%	507
Kaynes Semicon	-0.2%	(3)	-4.0%	(118)
Kaynes Circuits India	0.0%	(0)	-0.9%	(26)
Kaynes Mechatronics	0.1%	3	-0.2%	(6)
Iskraemeco India	-		16.7%	489
Foreign Subsidiary				
Kaynes Technology Europe GmbH	-0.1%	(1)		
Digicom Electronics Inc.	-		1.0%	28
Sensoric Group	-		-5.8%	(169)
Esskay Electronics LLC			0.1%	2
Consolidated adjustments	0.2%	4	3.0%	89
	100.0%	**1,833**	**100.0%**	**2,934**

Source: Company data, Nomura research

Concern 2: Sharp jump in trade receivables in 1HFY26 led by Iskraemeco impacting OCF

- Kaynes consolidated trade receivables jumped from ~INR5.7bn in FY25 to INR11.2bn in 1HFY26 (INR14bn including INR3bn in receivables in other current assets [OCA]). This impacted cash flow in 1HFY26. Also, Iskraemeco receivables as of FY25 indicate ~INR458mn, which is due for >1 year.
- *Explanation: Iskraemeco receivables stood at ~INR 6.9bn (close to half of the outstanding) and largely from a key customer PGCIL (PWGR IN, Not rated)(government entity). Iskraemeco being an AMISP (Advanced Metering Infrastructure Service Provider), the collection schedules were longer. Kaynes noted that it will* ***no longer be an AMISP*** *and will only provide smart* ***meter devices now.*** *It has* ***completed most of the PGCIL orders*** *(>70% done) and it contributes only a small part of the remaining order book. For other customers, Kaynes is only a device supplier where collection is ~90 days . It now expects ~INR8bn in the smart meter segment in FY26F (~INR10-11bn earlier).*
- *On the INR450mn receivable, the company is confident of collecting this before year-end.*
- *It reiterated that the EMS business will generate CFO over FY26-28F.*
- *In our view, defocus from smart meter and change in customer profile addresses large part of the incremental working capital challenges for the company. However, this may lead to some risk to the revenue targets and margin profile due to the strong margin profile in smart meter segment. No incremental provision from smart meter segment and CFO generation in FY26F and o n wards will remain a key monitorable.*

Fig. 3: Kaynes working capital (absolute)

INR mn	4QFY23	2QFY24	4QFY24	2QFY25	4QFY25	2QFY26
Inventory	4,132	5,512	5,483	7,129	8,144	9,823
Receivables	2,271	2,062	3,556	5,307	5,746	11,223
Payables	2,792	2,644	4,119	4,059	7,855	8,371

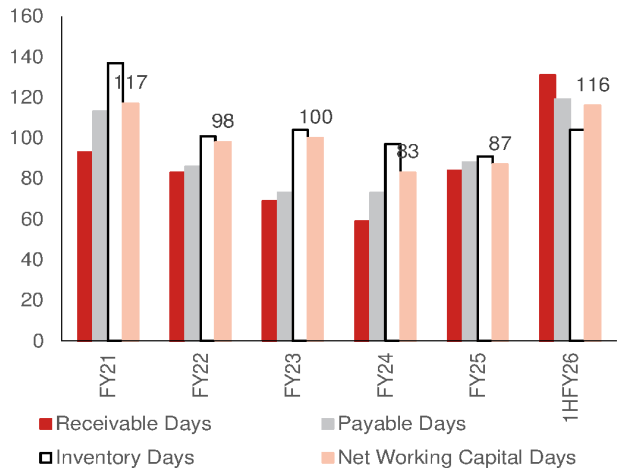
Source: Company data, Nomura research

Fig. 4: Iskraemeco trade receivables

Particulars (INR mn)	FY23	FY24	FY25
Less than 6 months	148	(0)	877
6months - 1year	83	298	618
>1 year	39	267	458
Total	**270**	**565**	**1,953**

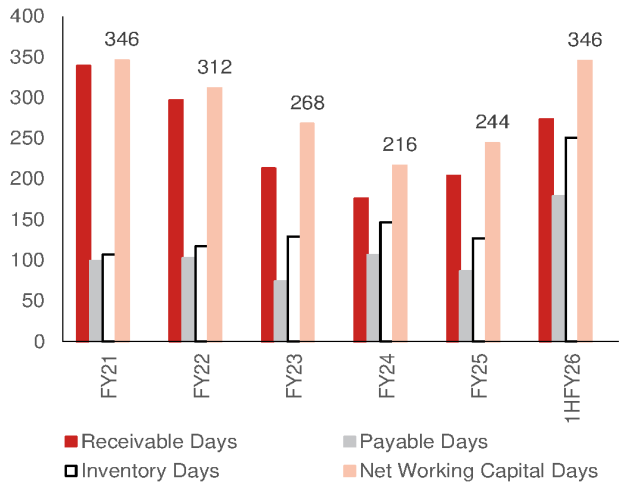
Source: Company data, Nomura research

Fig. 5: Net working capital days trend (Kaynes)



Source: Company data, Nomura research

Fig. 6: Net working capital days trend of Genus Power (GPIN IN, Not rated)– a smart meter service provider



Source: Company data, Nomura research

Concern 3: Higher bill discounting to address receivables can impact margins

- Kaynes intends to bill discount receivables and supply chain finance for some of the customers as a means to address working capital which could impact margins
- *Explanation: The company noted that the cost of bill discounting has already been embedded in contract pricing. Also, some of the financing is being arranged from foreign banks with a lower interest rate. Hence, cost impact for Kaynes will be marginal and should not materially impact margins, according to management.*
- *In our view, depending on the interest rates, extent of discounting and customer profile, there could be some risk to margins*

Concern 4: Related-party transactions of Iskraemeco not appearing in other subsidiary filings

- Iskraemeco had certain sale/purchase with Kaynes manufacturing subsidiaries like Kaynes Technology India (KTIL) (unlisted) and Kaynes Electronics Manufacturing (KEMPL) (unlisted) and receivables/payables as well. However, these transactions were not visible in the KTIL and KEMPL financial statements.
- *Explanation: The company noted that these were inadvertently not disclosed in the standalone financial statements of these subsidiaries and will be rectified in the subsequent filing and noted for future compliance. There is no change in the consolidated financials and all of these have been taken care of appropriately.*
- *In our view, this is a lapse in disclosure and company needs to have stronger internal controls or have a Big 4 auditing firm/external counsel to address this in the future.*

Fig. 7: Kaynes Tech RPT

Holding Company	INR mn
Kaynes Technology India	**Amount**
Sale of Material	879.7
Purchase of Material	1625.4
Trade Receivables	1926.8
Trade Payables	3223.9
Advances Given	0.0

Source: Company data, Nomura research

Fig. 8: KEMPL RPT

Fellow Subsidiary	INR mn
Kaynes Electronic Mfg	**Amount**
Purchase of Material	1798.0
Purchase of Services	0.0
Trade Receivables	0.0
Trade Payables	1831.5

Source: Company data, Nomura research

Concern 5: Higher doubtful debt provisions in 1HFY26

- Provision for doubtful debts increased sharply as on 1HFY26 compared to much lower in the past.
- *Explanation: The company noted that this is not from the smart meter segment, and is a mix of existing customers across EV and other segments. This is a provision and not a write-off. It is already in discussion with its customers and is confident of recoveries going ahead.*
- *In our view, the provisions have consistently seen an upward trend and are much higher than peers, and the company needs to address this in due course.*

Fig. 9: Provision for doubtful debts trend

Provision for doubtful debts	FY22	FY23	FY24	FY25	1HFY26
Kaynes	**9**	**15**	**135**	**194**	**552**
As a % of previous year receivables	**0.7%**	**0.8%**	**6.0%**	**5.4%**	**9.6%**

Source: Company data, Nomura research

Concern 6: Rise in contingent liabilities due to smart meter segment

- Contingent liability has increased sharply from INR780mn to INR2.1bn on corporate guarantee to subsidiary companies.
- *Explanation: The company noted that this is due to bank guarantee given for Iskraemeco projects and subsidiary companies for funding requirement at Iskraemeco subsequent to the acquistion.*
- *In our view, this may not see material increase in the future, as the incremental customer profile is very different and may not need bank guarantees.*

Fig. 10: Contingent liabilities (Iskraemeco)

Particulars (INR mn)	FY22	FY23	FY24	FY25
Contingent Liabilities				
Claims against company not acknowledged as debt	125.2	125.2	85.0	112.3
Bank guarantee for contractual performance	68.7	68.7	66.7	72.0
Letter of credit issued by bank	3.3	6.2	6.9	0.2
Bond executed for customs/central exercise	273.2	450.0	470.0	470.0
On account of bills discounted with banks	471.0	520.8	1160.7	823.4
Corporate Guarantee to Subsidiary Companies	44.0	84.0	780.4	2105.8
Other sums	11.2			

Source: Company data, Nomura research

Concern 7: Acquisition goodwill does not reflect in consolidated financials

- Kaynes had completed two acquisitions of ~INR880mn in FY25 (Iskraemeco and Sensonic) recognising a goodwill of INR1.1bn which was not followed by a corresponding increase in goodwill in the balance sheet
- *Explanation: The company noted that for Iskraemeco acquisition a major part of the*

consideration is a contract that Iskraemeco has entered into, while in Sensonic there was no intangible asset. Hence, as per conservative accounting standards, they have recognised this as an intangible asset and amortised over the term of contract and netted off with goodwill.

- *In our view, we believe* ***this could have been more explicitly mentioned in the annual report. Also, standard accounting practise of cash payment in the cash flow with creation of goodwill and not netting off with customer contracts could have improved accounting clarity.***

Concern 8: R&D capitalization looks high in the balance sheet

- Of total R&D expense of INR149mn in FY25 (0.5% of revenue), ~94% was capitalised.
- *Explanation: The company continues to work on various ODM projects such as KAVACH in Railways where revenue potential is high and comes with a lag. Hence, as a prudent accounting standard, these costs will get expensed as it starts booking revenues from this segment*
- z*In our view, R&D capitalied is only ~0.5% of the revenues and doesn't impact profits materially, even if it was expensed.*

Fig. 11: R&D expense trend (Kaynes)

INR mn

R&D Expenditue	FY22	FY23	FY24	FY25
R&D Expensed	12	6	8	9
As a % of total	10.5%	4.3%	10.8%	5.8%
As a % of revenue	0.2%	0.1%	0.0%	0.0%
R&D Capitalised	100	140	68	141
As a % of total	89.5%	95.7%	89.2%	94.2%
As a % of revenue	1.4%	1.2%	0.4%	0.5%

Source: Company data, Nomura research

Concern 9: Capex of INR 9.5bn in FY25 has variance compared to asset additions

- While capex was INR 9.5bn in FY25, only INR 7.7bn was the addition across gross block, CWIP, Intangible asset, Intangible asset under development, net increase in capital advances .
- *Explanation: The company noted that INR1.78bn of net RIght of use assets (adjusting for capital subsidy received of INR.45bn) also need to be added to this.*
- *In our view, the intangible asset addition also reflects the impact of Iskraemeco acquisition. Capex should only reflect cash spe* ***nd*** *ing* ***and acquisition accounting could have been done separetely.***

Concern 10: Non-smart meter revenue growth has been very low in 1HFY26; needs a significant jump to meet management guidance in 2HFY26

- The smart meter segment was a key driver of revenue growth in 1HFY26, contributing ~32% to its overall revenues. Ex-smart meter revenue growth was flat y-y. This implies a >94% y-y increase in 2HFY26
- *Explanation: The company targets ~INR3bn revenue from smart meters in 2HFY26. It is already witnessing strong traction in the Automotive segment, EVs (where it has acquired a marquee customer) and the Industrial segment (ex-smart meter). Some of the orders in Railways (under Kavach) have already started executing and Aerospace will also pick up in 2HFY26. Overall, it is confident of witnessing a strong pick-up in non-smart meter revenues in 2HFY26 and will more than compensate for the weakness in smart meter segment.*
- *In our view, the company's business is seasonal and ~35% of the annual revenues*

get booked in the 4Q. Hence, there can be potential for catch up in 2HFY26. However, scaling down smart meter ambitions can lead to some miss in management's stated guidance of INR42bn by FY26F

Fig. 12: Kaynes segment-wise financials

INR mn				Implied
	1HFY25	2HFY25	1HFY26	2HFY26
Revenue	10,761	16,457	15,797	25,132
% y-y			47%	53%
Smart meter		5,320	5,000	3,000
% y-y				-44%
Rev ex smart meter	**10,761**	**11,137**	**10,797**	**22,132**
			0%	**99%**
Segmentwise ex smart meter				
Auto	3,024	4,107	3,854	
% y-y			27%	
Industrial (incl EV ex smart meter)	5,843	3,888	4,383	
% y-y			-25%	
Railways & IOT	700	1,578	948	
% y-y			35%	
Others	1,194	1,564	1,612	
% y-y			35%	

Source: Company data, Nomura estimates

Concern 11: Significant capex for OSAT/PCB may have funding challenges

- The company plans to spend INR33bn in OSAT and ~INR45bn in PCB over FY26-29E of which it has spent INR3.8bn/1.5bn in OSAT/PCB until 2QFY26. This has been funded from ~INR10.6bn it had raised in QIP earlier. Subsidy received until FY25 has been only INR429mn, according to balance sheet.
- *Explanation: The company has already budgeted and has a funding plan in place for the INR33bn OSAT and INR14bn PCB project with a mix of subsidy, debt and internal accruals. For the incremental spend in PCB, it is still in discussion with the state governments and will be finalised soon. It has formed a team to work on the subsidy receipts as it is a significant part of the capex and is confident of receipts picking up in FY26. Overall, it* ***does not expect any equity fund-raising or promoter stake sale to fund these projects in the medium term.***
- *In our view, given the significant dependence on government subsidy in this project, the scale-up targets may need to be looked at afresh depending on realization of the subsidy, else funding can become a key constraint for them*

Fig. 13: PCB capex breakup

INR bn	Capex
PCB (Chennai)	14.0
HDI/Flex	16.8
CCL	17.0
Multilayer pcb	1.0
Camera module	3.3
OSAT	33.0
Capex FY26-30	**85.1**

Source: Company data, Nomura research

Fig. 14: Capex across OSAT and PCB till date

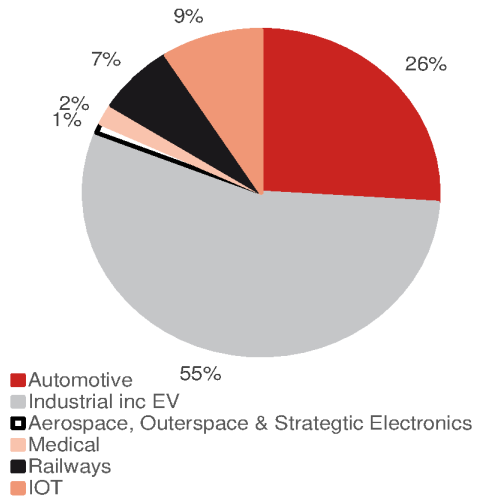
Capex incurred upto	Amt to be utilised as per QIP	2QFY25	3QFY25	4QFY25	1QFY26	2QFY26
OSAT	7,567	2,022	2,045	2,274	3,131	3,775
PCB	3,073			862	1,143	1,495
Total	**10,640**	**2,022**	**2,045**	**3,136**	**4,274**	**5,269**

Source: Company data, Nomura research

Key monitorable 1: Kaynes focus on core EMS business and ramp-up in other segments remain a key to diversify business further

Given challenges in the smart meter business, the company has de-focussed from this segment which is a positive. We note that the company derives ~35%+ of its revenue from automotive and EV-related segments which is witnessing strong demand traction where Kaynes has added a new customer as well. Also, order execution in segments such as Railways and Aerospace has picked up as well which has been subdued until now. Teh company is in discussion with a global major customer as well where validation is underway. Hence, we expect stronger ramp-up in growth from non-smart meter segments from 2HFY26 onwards. Thus, smart meter revenue share will come down to 17% in 2HFY26F and further to ~11% by FY28F, by our estimate.

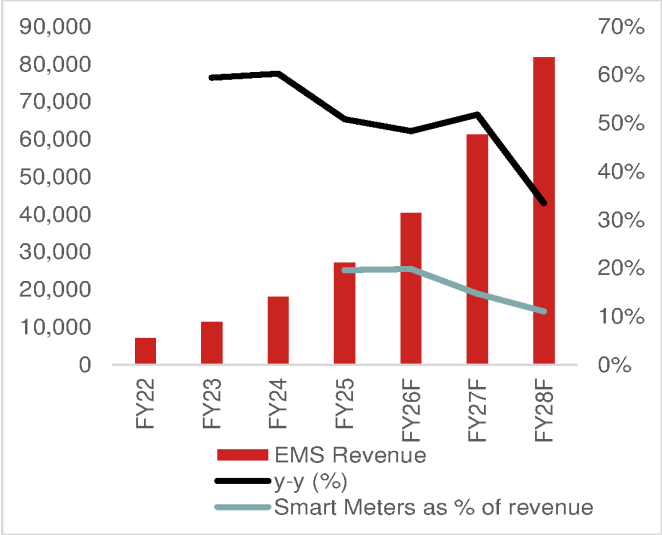
Fig. 15: Kaynes segment-wise revenue breakup (FY25)



Source: Company data, Nomura research

Fig. 16: Smart meters as a % of revenue to scale down going ahead

INR mn



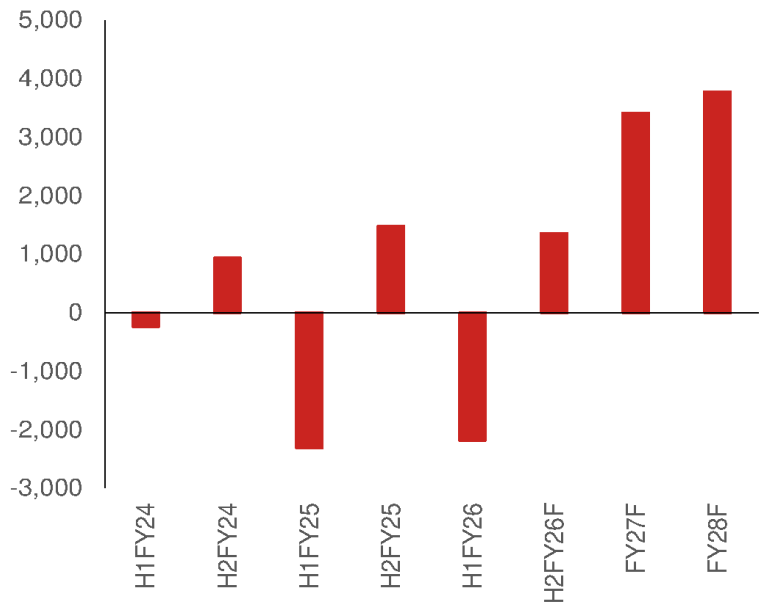
Source: Nomura estimates

Key monitorable 2: Addressing working capital challenges to improve OCF in FY27F/28F

- The company has started working on multiple initiatives to address the working capital challenges in the future. For instance, for close to half of its debtors, it has initiated supply chain financing where it has tied up with customers' financing partners to recover the pending dues. On inventory, it is in discussion with its suppliers to delay offtake of some of the fast-moving SKUs while there is no obsolescence risk.
- We believe with proper execution, some of the working capital challenges can get addressed over the medium term. However, this can potentially lead to some margin pressures as customers may ask to share the costs as well.
- We note that historically, 2HFY26 has seen sharper improvement in CFO as ~60% of its revenues get booked in 2HFY26. Company is confident of turning CFO positive in FY26F. This remains a key monitorable for the stock and CFO generation in FY27F/28F will drive further confidence on the earnings.

Fig. 17: Historically, Kaynes cash flow from operating activities (CFO) has turned positive in 2H every year

INR mn



Source: Company data, Nomura estimates

- On the new projects of OSAT and PCB, while the company is confident of receiving the subsidy from 1QFY26, the investment spends may need to be calibrated depending on timing of realisation of subsidy and working capital cycle in the new business segments and will be the key to watch out for.

Strong Board of Directors should ensure good governance

The company is represented by an eight-member board, of which five are independent directors who have been there since 2022. Promoter-founder Mr Ramesh Kunhikannan was re-designated MD to Executive Vice Chairman in Sep 2025 and Dr Muthukumar was appointed as MD. Dr Muthukumar has 40 years+ experience and has held significant leadership positions across Cummins Meritor, TVS Srichakra, etc. There are separate designees for MD and CEO which is a positive, in our view. Mr Raghu Panicker and Mr Kumar Subramaniam are leading new businesses Semicon and Kaynes Circuits. However, the company CEO Mr Rajesh Sharma, who joined in 2021, has resigned and the company is yet to announce a successor.

All of the independent directors have strong backgrounds.

Mr S G Murali – He has previously served as the Group CFO of TVS Motor (TVS IN, Buy) and was also associated with Voltas (VOLT IN, Neutral) and Unilever group (ULVR LN, Not rated) in the past

Mr Alexander Koshy – He was previously associated with Bharat Electronics Limited (BEL IN, Neutral)

Mr Heinz Moitzi – He has 42 years of experience in electrical engineering and was awarded for special economic services to the Republic of Austria, Councilor of Commerce in Dec 2019.

However, Mr Anup Kumar Bhat, independent director, resigned in Nov 2025 citing personal reasons.

Fig. 18: Board of Directors

Name	Designation	Date of Appointment
Mrs. Savitha Ramesh	Executive Chairperson & Whole Time Director	28-Mar-08
Mr. Ramesh Kunhikannan	Managing Director	28-Mar-08
Mr. Jairam Paravastu Sampath	Whole Time Director & Chief Financial Officer	10-Mar-18
Mr. Seeplaputhur Ganapathiramaswamy Murali	Independent Director	21-Feb-22
Mr Alexander Koshy	Independent Director	21-Feb-22
Mr Heinz Franz Moitzi	Independent Director	16-Jun-23
Ms. Poornima Ranganath	Independent Director	31-Mar-22

Source: Company data, Nomura research

Auditors – Having a Big 4 accounting firm can improve confidence

The company had appointed K.P. Rao and Co as the company auditors during their time of listing in 2022. The previous auditor, Varma & Varma, had completed its tenure as the Companies Act 2013 mandates rotation post 5-year/10-year period.

The company noted that it will look to incorporate advice from external agencies for better accounting practices. However, having one of the Big 4 firms as an auditor can add to investor confidence, in our view.

Kaynes EMS TAM remains significant implying high medium-term growth visibility

As highlighted in our initiation report (*link*), Kaynes derives ~35% of its revenues from the automotive segment, where TAM remains significant given higher electronics usage in EVs, rising EV penetration across PV/2Ws and government push towards localization. Exports automotive TAM is even larger and the company has not started addressing this meaningfully yet. As it starts executing through some of its customers such as Honeywell (HWA IS, Buy) and Valeo (FR FP, Not rated), this has the potential to become a material revenue driver for the company. Given its higher reliance on the automotive segment, we believe it will have a better right to win compared to generalized EMS players.

Similarly, in railways automatic train collision avoidance system – KAVACH TAM is signifiant at ~INR200bn where Kaynes customers have got approved and supplies should begin shortly. Apart from this, it is in discussion with large customers such asHoneywell and Valeo (across aerospace) which can sustain the healthy growth momentum. Lastly, spacetech is a new area where company has already supplied satellite components to ISRO in the past. It is working on making complete satellites, along with drones and can be a new growth area for the company in the medium term.

Fig. 19: Significant TAM for Kaynes in PV segment

Segment	FY22	FY23	FY24	FY25	FY30F	% CAGR (FY25-30F)	FY40F	% CAGR
PV Production (mn units)	3.64	4.57	4.9	5.06	7.43	8	12.11	5
% y-y		26%	7%	3%				
EV share			**2%**	**2%**	**9%**		**25%**	
ICE ASP (INR'000)	744	820	888	913	1,110	4	1,643	4
EV ASP (INR'000)			1,500	1,500	2,000		2,438	2
PV rev (INR bn)	**2,710**	**3,747**	**4,353**	**4,617**	**8,863**	**14%**	**22,308**	**10%**
EMS (% of ASP)	11%	10%	12%	12%	13%		17%	
ICE	11%	10%	11%	11%	12%		15%	
EV	20%	20%	20%	20%	20%		20%	
EMS industry (INR bn)	**287**	**375**	**508**	**543**	**1,173**	**17%**	**3,715**	**12%**
ICE	287	375	479	508	899	**12%**	2,239	**10%**
EV			29	35	274		1476	
Outsourced (% of EMS)	23%	24%	28%	29%	39%		58%	
ICE	23%	24%	25%	26%	30%		50%	
EV			70%	70%	70%		70%	
Outsourced EMS (INR bn)	**66**	**90**	**140**	**156**	**461**	**24%**	**2153**	**17%**

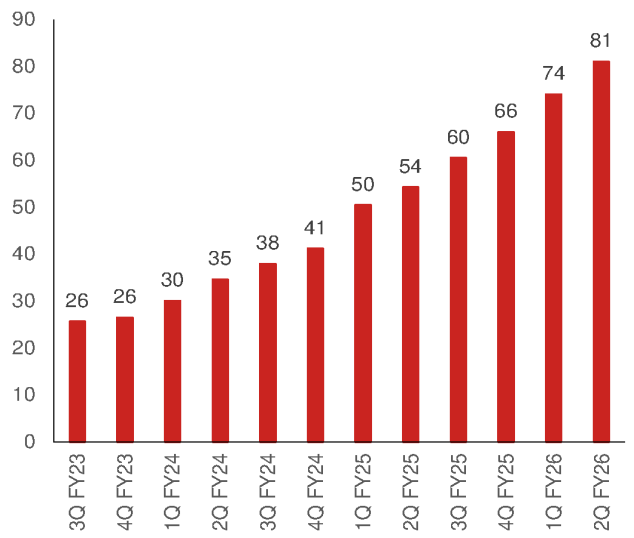
Source: Nomura estimates

Fig. 20: … as well as 2Ws

Segment	FY22	FY23	FY24	FY25	FY30F	% CAGR (FY25-30F)	FY40F	% CAGR
2W (mn units)	17.7	19.4	21.5	23.9	33.0	6.7	44.4	3.0
% y-y		10%	10%	11%				
EV share	**2.0%**	**4.6%**	**5.2%**	**5.7%**	**15%**		**35%**	
ICE ASP (INR'000)	70	74	80	80	93	3	125	3
EV ASP (INR'000)	130	130	130	130	130		158	2
2W rev (INR bn)	**1,276**	**1,537**	**1,800**	**2,074**	**3,252**	**9%**	**6,057**	**6%**
EMS (% of ASP)	5%	7%	7%	7%	10%		14%	
ICE	5%	5%	5%	5%	8%		10%	
EV	20%	20%	20%	20%	20%		20%	
EMS industry (INR bn)	**69**	**100**	**119**	**139**	**340**	**20%**	**852**	**10%**
ICE	60	77	90	104	207	**15%**	360	**6%**
EV	9	23	29	35	132		492	
Outsourced (% of EMS)	26%	24%	41%	42%	49%		57%	
ICE	30%	31%	32%	33%	35%		40%	
EV			70%	70%	70%		70%	
Outsourced EMS (INR bn)	**18**	**24**	**49**	**59**	**165**	**23%**	**488**	**11%**

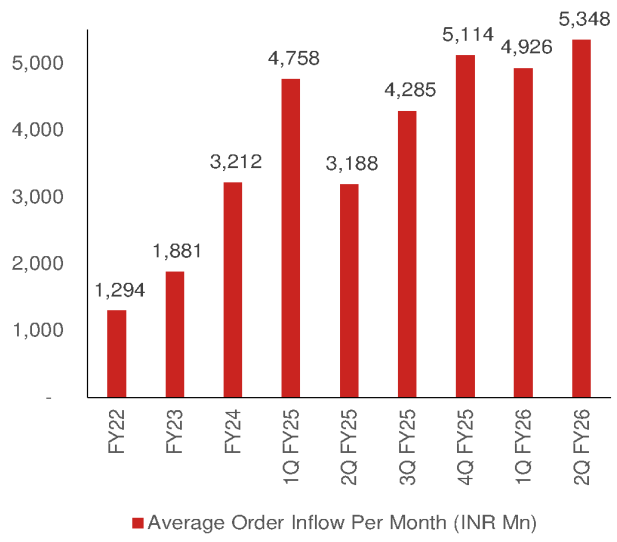
Source: Nomura estimates

Fig. 21: Kaynes – order book (INR bn)



Source: Company data, Nomura research

Fig. 22: Kaynes – average order inflow/month (mn units)



Source: Company data, Nomura research

Revisions to our estimates

We lower our revenue growth estimates by 5-9% over FY26-28F to factor in working capital challenges in the smart meter which may need Kaynes to lower exposure to this segment. We lower our EBITDA margins by ~30bp on adverse mix (smart meter has strong margins) along with impact of bills discounting, leading to 8-14% cuts in our EPS estimates for FY26-28F.

Fig. 23: Key revisions to our estimates

Particulars	New			Old			% change		
INR mn	FY26F	FY27F	FY28F	FY26F	FY27F	FY28F	FY26F	FY27F	FY28F
Revenue	40,385	61,300	81,814	42,562	67,407	90,060	-5.1%	-9.1%	-9.2%
- y-y growth	48%	52%	33%	56%	58%	34%			
EBITDA	6,438	9,684	12,979	6,909	10,867	14,589	-6.8%	-10.9%	-11.0%
EBITDA margins %	15.9%	15.8%	15.9%	16.2%	16.1%	16.2%	(29) bps	(32) bps	(33) bps
PAT	4,484	6,723	8,924	4,878	7,764	10,450	-8.1%	-13.4%	-14.6%
EPS	66.4	99.5	132.1	72.2	114.9	154.6	-8.1%	-13.4%	-14.6%

Source: Company data, Nomura estimates

On valuations, given a slightly lower growth outlook, we lower our target P/E to 35x (from 50x previously), which is at the low end of its historical trading band of 35-55x and backed by DCF. The current valuation at ~26x FY28F P/E (adjusted for subsidiaries) is attractive given a ~40% EPS CAGR over FY26-28F; hence, we maintain Buy. Improvement in working capital to <90 days by FY26F (113 days in 1HFY26 *Fig. 5*) and ramp-up of other businesses can be a key catalyst for the stock, in our view.

Fig. 24: Kaynes – valuation methodology

Parameter	INR/share
FY28F EPS	132
Target PE	35
Value per share	4,622
TP discounted to Dec-27F	**4,493**
OSAT+PCB	962
TP	**5,455**

Source: Nomura estimates

Fig. 25: DCF methodology

(INR bn)			FY28F	FY29F	FY30F	FY31F	FY32F	FY33F	FY34F	FY35F	FY37F	FY38F	FY39F	FY40F
Revenues			81.8	101.6	126.4	151.7	182.0	218.4	251.1	288.8	381.9	427.8	469.9	507.5
% YoY			*33%*	*24%*	*24%*	*20%*	*20%*	*20%*	*15%*	*15%*	*15%*	*12%*	*10%*	*8%*
EBIT			11.7	14.4	18.1	21.7	26.0	31.2	35.9	41.3	54.6	61.2	67.2	72.6
Margin (%)			14.3%	14.2%	14.3%	14.3%	14.3%	14.3%	14.3%	14.3%	14.3%	14.3%	14.3%	14.3%
Depreciation			1.2	1.6	2.0	2.5	2.6	4.3	5.0	5.0	6.3	7.0	7.6	8.3
Tax paid			2.5	3.1	3.9	4.8	5.7	6.9	7.9	9.1	12.0	13.5	14.8	16.0
Change in WC			-5.28	-4.95	-6.93	-6.18	-8.25	-9.90	-8.91	-10.24	-13.55	-12.46	-11.46	-10.22
Net working capital days			*91.6*	*92.1*	*91.3*	*91.8*	*91.0*	*91.0*	*92.8*	*92.8*	*92.8*	*93.9*	*94.8*	*95.6*
Capex			(4.3)	(5.2)	(6.2)	(6.5)	(6.9)	(7.5)	(7.7)	(7.8)	(8.2)	(8.3)	(8.5)	(8.7)
FCFF			**0.9**	**2.8**	**3.0**	**6.7**	**7.8**	**11.2**	**16.4**	**19.1**	**27.2**	**33.9**	**40.1**	**46.0**
Discount factor			0.89	0.80	0.71	0.64	0.57	0.51	0.45	0.40	0.32	0.29	0.26	0.23
Present value		-	0.8	2.2	2.1	4.3	4.4	5.7	7.4	7.7	8.8	9.7	10.3	10.6
Terminal Value	985													
PV of Terminal Value	226													
NPV of FCFF	**82**				**Assumptions**									
Firm Value (Mar-27)	308													
					Terminal Growth Rate			7.0%						
Net debt (FY27 end)	3.2				Risk free rate			6.5%						
Equity Value	**305**													
No of Shares(bn)	0.07				Risk premium			5.0%						
Price Target (Mar-27)	**4,509**				Beta			1.1						
Implied PE	**34**				Cost of Equity			12.0%						

Source: Nomura estimates

Fig. 26: Peer comparison

Company	Ticker	Market Cap (USD mn)	Rating	CMP INR	FY26-28F CAGR Rev	EBITDA	EPS	EPS FY27F	EPS FY28F	P/E FY27F	P/E FY28F	EV/EBITDA FY27F	EV/EBITDA FY28F	RoE (%) FY27F	RoE (%) FY28F	FCF Yield FY27F	FCF Yield FY28F
India Consumer durables																	
LG India	LGEL IN	11792	Buy	1,566	13%	26%	24%	39.8	47.6	39.4	32.9	27.7	22.6	32.9	31.9	1%	2%
Crompton	CROMPTON IN	1,805	Buy	253	12%	22%	24%	10.5	12.4	24.1	20.4	14.6	12.1	17.1	18.0	3%	4%
Havells India	HAVL IN	9,792	Buy	1,407	18%	28%	28%	33.7	41.1	41.7	34.2	27.9	22.9	21.5	23.0	1%	2%
Voltas	VOLT IN	4,854	Neutral	1,323	16%	24%	27%	35.5	42.6	37.3	31.0	28.1	24.0	15.5	16.6	1%	1%
Eureka Forbes	EUREKAFO IN	1,350	Neutral	629	12%	19%	27%	14.8	18.1	42.4	34.7	27.3	22.6	6.5	7.3	3%	4%
EMS																	
Kaynes	KAYNES IN	665	Buy	3,807	42%	42%	41%	99.5	132.1	38.3	28.8	26.7	19.9	12.9	14.9	0%	0%
Dixon	DIXON IN	9,123	Buy	13,563	25%	40%	23%	271.7	371.4	49.9	36.5	26.1	19.3	30.2	30.8	1%	2%
Syrma SGS	SYRMA IN	1,559	NR	729	31%	36%	39%	20.0	26.9	36.4	27.1	22.7	16.7	13.0	15.3	-1%	na
Amber Enterprises	AMBER IN	2,517	NR	6,451	23%	34%	51%	149.4	212.4	43.2	30.4	19.2	14.5	12.8	15.2	-1%	na
Avalon Technologies	AVALON IN	639	NR	863	N/A	N/A	41%	21.5	28.7	40.1	30.0	24.9	18.8	17.9	19.8	N/A	na
Cyient DLM	CYIENTDL IN	368	NR	418	N/A	24%	36%	18.2	23.6	22.9	17.7	13.6	10.6	12.1	13.0	N/A	na
PG Electroplast	PGEL IN	1,674	NR	530	26%	32%	40%	14.9	19.3	35.6	27.4	22.2	17.4	12.2	13.9	0%	na
Genus Power	GPIN IN	1,010	NR	299	21%	21%	20%	22.5	26.9	13.3	11.1	9.1	7.2	24.2	22.9	3%	na
Adani Energy Solutions	ADANIENS IN	12,799	NR	961	18%	25%	24%	30.2	36.0	31.8	26.7	13.7	12.5	12.1	11.0	0%	na
Techno Electric	TECHNOE IN	1,371	NR	1,063	N/A	N/A	N/A	63.3	N/A	16.8	n/a	N/A	N/A	14.1	N/A	1%	na

Note: Share prices are as of 08 December 2025, Bloomberg Finance L.P. consensus for Not rated stocks
Source: Bloomberg Finance L.P., Nomura estimates

Appendix A-1

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Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Kaynes Technology India	KAYNES IN	INR 4,331	09-Dec-2025	Buy	N/A	A4,A5,A6,A7

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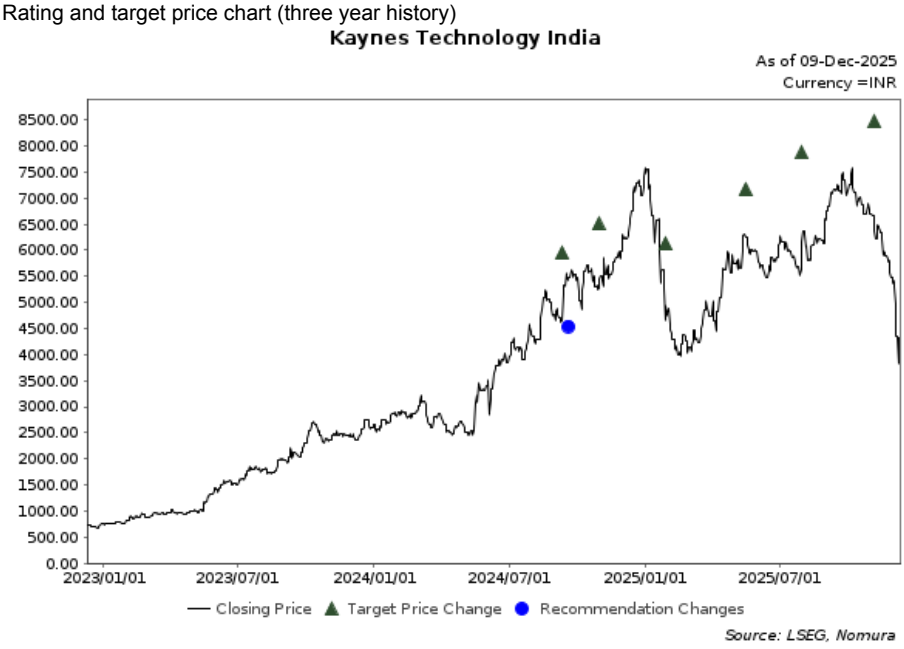
A5 The Nomura Group has received compensation for investment banking services from the subject company in the past 12 months.

A6 The Nomura Group expects to receive or intends to seek compensation for investment banking services from the subject company in the next three months.

A7 The Nomura Group has managed or co-managed a public or private offering of the subject company's securities in the past 12 months.

Kaynes Technology India (KAYNES IN) **INR 4,331 (09-Dec-2025)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
06-Nov-25		8,478.00	6,359.00
31-Jul-25		7,878.00	6,172.00
16-May-25		7,183.00	6,263.00
28-Jan-25		6,146.00	4,661.00
30-Oct-24		6,516.00	5,270.00
11-Sep-24	Buy		4,663.00
11-Sep-24		5,969.00	4,663.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of INR 5,455 is backed by DCF. We attribute ~35x (50x earlier) target P/E on FY28F EPS (discounted to Dec-27F) for EMS business (backed by DCF) and add INR 962 for OSAT+PCB business. The benchmark index is Nifty 50

Risks that may impede the achievement of the target price Execution of the order book will be a key monitorable for Kaynes. Any delay in execution will have an adverse impact on its revenue and profitability. Semiconductor is the key raw material for Kaynes, which has faced supply constraint in the past. Any supply crunch in future will have a similar adverse impact on the company's operations, working capital and earnings. Top 10 customers contributed ~69% to revenue as of FY24, up from 60% in FY23; any loss of these customers will have a detrimental impact on the company's earnings. We expect Kaynes to gradually scale up its OSAT business in phases. Failure to do so could significantly impact its financials. Any further deterioration in working capital could impact return ratios, offsetting the benefits of its high margins. Also, one of the other risks to watch out here is the company's ability to further invest in OSAT business over the medium term, post subsidy scheme, without compromising on its return ratios. Kaynes has hired and partnered with multiple companies to gain access to technology

relevant to semiconductor packaging and testing. Continued ability to hire the right talent and partner with relevant firms with technology capabilities would be key to ensure that these new ventures become successful.

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As at 30 September 2025.
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